

UNITED STATES COPYRIGHT OFFICE

**Section 1201 Study: Notice and
Request for Public Comment**

Docket No. 2015-8

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**Reply Comments of:
Association of American Publishers,
Motion Picture Association of America,
Recording Industry Association of
America**

I. Introduction

The Association of American Publishers (“AAP”), the Motion Picture Association of America, Inc. (“MPAA”) and the Recording Industry Association of America, Inc. (“RIAA”) respectfully submit these reply comments in connection with the above referenced docket. As described in the prior comments submitted by AAP, MPAA and RIAA on March 3, 2016, the protections provided in Chapter 12 of Title 17 are extremely important to the motion picture, music and publishing industries. These protections helped encourage early adoption of digital dissemination methods and continue to enable the exciting new business models that AAP, MPAA and RIAA members and their partners are currently using to disseminate their creative works. Nothing in the comments filed in this docket persuasively supports the calls to undermine the vital protections of Chapter 12. Doing so would impede the growth of innovative new services and products and harm consumers.

The majority of the complaints regarding Section 1201 contained in the submitted comments focus on (i) purported uses of access controls to hinder competition in industries unrelated to the dissemination of expressive works and (ii) accessing software code for the purpose of studying or reverse engineering it or rendering consumer products, such as printers or automobiles, interoperable with other products. AAP, MPAA and RIAA take no position on the specifics of these issues, which do not directly relate to their industries. However, it is important to note that many of the complaints are based on stale cases that are more than a decade old and that Section 1201 already includes potentially applicable permanent exemptions related to interoperability and security testing.

Very few comments pointed to any purported problems associated with accessing expressive works. Although a cadre of commenters who have opposed the existence of Section 1201 since prior to its passage continue to do so, they presented no evidence that anti-circumvention prohibitions are being abused by anyone in the motion picture, music or publishing industries. That is no surprise – as detailed in the comments submitted by AAP, MPAA and RIAA, access controls and use-based controls are facilitating the availability of innovative products and services that enable consumers to choose between a wide variety of offerings at different price points.

The lack of any evidence that the existence of the protections contained in Section 1201 has led to less access to expressive works, rather than more access, is cause for the Copyright

Office to recommend that Congress refrain from amending Section 1201 to reduce the safeguards that underpin the digital businesses that AAP, MPAA and RIAA members and their partners engage in and license. It is critical, for example, that Congress reject calls to amend the statute to require plaintiffs to prove that circumvention was undertaken for the purpose of committing infringement. It is also crucial that Congress, and the Copyright Office, decline to significantly revise and weaken the procedural and substantive requirements for obtaining exemptions through the triennial rulemaking process. If anything, the comments submitted in this docket demonstrate that, where valid concerns were raised in the proceedings, the Register and the Librarian have acted responsibly to address them, as Congress intended. While some minor adjustments to the process might be warranted, it would be ill advised to convert the proceeding into an open-ended invitation for broad-based assaults on the policy objectives that Section 1201 was meant to achieve, as opposed to maintaining it as a regulatory “fail safe mechanism” focused on correcting specific and actualized hindrances to non-infringing uses. H.R. Rep. No. 105-551, pt. 2, 105th Cong., 2d Sess., at 36 (July 22, 1998).

II. Technological Protection Measures Benefit Consumers

The March 3, 2016 comments submitted by AAP, MPAA and RIAA detail numerous exciting products and services, underwritten by technological protection measures, that are revolutionizing the ways that consumers enjoy and interact with books, journals, movies, music, and television shows. Subscription on-demand services, digital “rental” services, and online lockers that enable family sharing and remote access to purchased titles are just a few examples of business models that would not be possible without technological access controls and use controls, protected by Section 1201.

Comments submitted in this docket by other copyright owners and organizations provide additional examples of the benefits of technological protection measures. ACT – the App Association explained how Section 1201 protects start-up app developers looking to grow their businesses and to provide consumers with software products that add life to their phones, tablets and computers. The Entertainment Software Association (“ESA”) described how access controls limit piracy of videogames and other expressive works being enjoyed on sophisticated in-home consoles that enable consumers to not only play games, but also to access movies, television series and music. And the Copyright Alliance provided an overview of how Section 1201 benefits its diverse collection of members, and their customers.¹

In contrast, critics of Section 1201 ignored all of these realities and pretended as if the marketplace for expressive works is stagnant and hobbled by the use of digital rights management technologies. Nothing could be further from the truth. Just as Congress intended and predicted, consumers have access to more works through more channels than ever before. In addition, technological protections measures are an essential part of a regime designed to make it possible for the authors and lawful distributors of expressive works to recoup their investments and sustain their businesses, and to thereby fuel investment in the creation of new literary works,

¹ Other comments that include useful information regarding the benefits of Section 1201 were submitted by the Business Software Alliance (“BSA”), DVD Copy Control Association (“DVD CCA”), Advanced Access Content System Licensing Authority (“AACSLA”), the Kernochan Center for Law, Media and the Arts at Columbia University, Microsoft, and the Software & Information Industry Association (“SIIA”).

sound recordings, motion pictures and other copyrighted materials. Incentivizing and enabling that type of creative activity is exactly why copyright laws exist. *Mazer v. Stein*, 347 U.S. 201, 219 (1954) (“The economic philosophy behind the clause empowering Congress to grant patents and copyrights is the conviction that encouragement of individual effort by personal gain is the best way to advance public welfare through the talents of authors and inventors in ‘Science and useful Arts.’”). Section 1201 is a necessary component of those laws in the digital environment.

III. There Is No Need To Amend The Statute Or To Significantly Alter The Rulemaking

As discussed above, the comments filed in this docket do not proffer any evidence that Section 1201 is failing to achieve Congress’ goal of encouraging lawful, digital dissemination of expressive works by providing copyright owners with reasonable protections against theft and unauthorized access.² To the contrary, all evidence indicates that copyright owners have embraced digital dissemination, and that technological protections measures, especially access control technologies, are central to innovation, diversity and consumer choice in digital delivery.

Nevertheless, numerous comments propose deleting Section 1201 from the statute entirely. Many comments also propose tying anti-circumvention liability to proven acts of copyright infringement, some even going so far as to propose that a plaintiff in a Section 1201 case should be required to prove that a person who engaged in circumvention, or who trafficked in circumvention tools or services, intended to facilitate copyright infringement and had no basis to believe that acts of infringement were defensible in any manner. *See, e.g.*, Comments of New Media Rights at 12. Adopting these proposals would gut the protections provided by Section 1201, which Congress intended to supplement, not duplicate, copyright owners’ exclusive rights. Moreover, adopting a specific intent approach in Section 1201 would, with respect to trafficking, require proof of the mindset that consumers would have when utilizing circumvention tools before actual acts of circumvention occur. This would place the cart before the horse.³

As discussed in the opening comments of AAP, MPAA, and RIAA, it is essential that Section 1201 liability remain separate and distinct from copyright infringement. By, for example, hacking into digital subscriptions services, bad actors can read entire books, listen to entire records, and view entire movies simply by circumventing an access control, such as a password requirement. These bad actors need not reproduce these works or further distribute them in order (i) to gain the full value of experiencing the works and (ii) to deprive copyright owners and their licensees of the purchase (or rental) price. As the Ninth Circuit’s thorough and

² The only examples of purported problems proffered by commenters related to the use of access controls in connection with expressive works, as opposed to functional software, relate to activities that the Register and the Librarian have already determined to likely qualify as *infringing* (such as “space shifting” of movies on DVDs) or considered and exempted from liability in prior rulemakings (such as use of film clips by media studies professors or access to e-books for the blind).

³ In the rare instances where Congress elects to require proof of an intent to facilitate infringement, it clearly understands how to do so. *See, e.g.*, 17 U.S.C. § 1202 (“No person shall, without the authority of the copyright owner or the law ... intentionally remove or alter any copyright management information ... knowing, or, with respect to civil remedies under section 1203, having reasonable grounds to know, that it will induce, enable, facilitate, or conceal an infringement of any right under this title.”). The fact that Congress did not include such requirements in section 1201 reflects an affirmative conclusion that doing so would hinder the effectiveness of the anti-circumvention provisions.

carefully-reasoned opinion in *MDY Industries, LLC v. Blizzard Entertainment*, 629 F.3d 928 (9th Cir. 2010) explains, Congress intended to limit this harmful conduct by prohibiting circumvention of access controls and trafficking in related goods and services without regard to whether acts of copyright infringement are ultimately committed. See S. Rep. No. 105-190, 105th Cong., 2d Sess., at 11 (May 11, 1998) (“[I]f unauthorized access to a copyrighted work is effectively prevented through use of a password, it would be a violation of [section 1201(a)] to defeat or bypass the password and to make the means to do so...”).

AAP, MPAA, and RIAA respectfully urge the Copyright Office to strongly oppose proposals to delete Section 1201 from the statute or to neuter it by requiring proof of infringement to establish violations of Section 1201. The Copyright Office also should oppose other proposals to amend the statute to weaken the protections provided by Section 1201, including its anti-trafficking provisions. As multiple comments explain, Section 1201’s anti-trafficking provisions are critical to the overall scheme of protecting technological controls against circumvention. All technological protection measures are at risk of being broken, “so without the ban against trafficking, circumvention devices useable by even the most technology-challenged of consumers would undoubtedly be readily available, and TPMs would be largely ineffective.” Comments of Kernochan Center for Law, Media and the Arts at 6. Even statutory exceptions or regulatory exemptions that superficially allow trafficking of devices and services to enable lawful uses of works could cause significant harm to copyright owners because the rise of a market in circumvention devices and services, ostensibly for the purpose of engaging in permitted acts of circumvention, but primarily fostering illegal uses, would be unavoidable.⁴

This risk is exacerbated by confusion that often exists, and misrepresentations that often are made, concerning the scope of exemptions. For example, in his comments in this docket, Professor Peter Decherney contends that the exemption for using short portions of motion pictures in media studies courses allows for circumvention of access controls on video games, even though the Register expressly stated the opposite when she recommended the exemption to the Librarian. Compare Comment of Prof. Peter Decherney at 4 (“This exemption enables students and professors to use short portions or still images from motion pictures but also television programs, slide shows, video games, and other works to prepare a lecture or dissertation, facilitate a classroom discussion, complete an assignment, or otherwise participate in activities that enhance the educational experience.”), with Recommendation of the Register of Copyrights, Sixth Triennial Proceeding to Determine Exemptions to the Prohibition on Circumvention at 68-69 (October 2015) (“While Joint Educators contend that video game

⁴ Although Congress, in the Unlocking Consumer Choice and Wireless Competition Act, instructed the Librarian to expand exemptions related to mobile phone unlocking to cover circumvention by certain persons at the direction of device owners, that law (i) was strictly limited by Congress to apply to this narrow category of circumvention (which is unrelated to accessing expressive works) and (ii) does not alter the anti-trafficking provisions of 17 U.S.C. § 1201(a)(2) or (b). S. Rep. No. 113-212, 113th Cong., 2d Sess., at 6 (July 17, 2014) (“Unlocking a cell phone or other wireless device enables the device owner to connect his or her device to a wireless telephone network of his or her choice, and does not enable the device owner, or a third party on an owner’s behalf, to engage in other activities that infringe copyrighted works.”); H.R. Rep. No. 113-356, 113th Cong., 2d Sess., at 9 (Feb. 25, 2014) (“Nothing in this Act is intended to serve as a limitation on section 1201(a)(2) or section 1201(b), which remain critical to the effectiveness of Chapter 12 of Title 17 and are in no way altered or modified by the provisions of this legislation.”).

excerpts can be used in classroom instruction, it is unclear how or why circumvention of TPMs would be necessary to incorporate a video game excerpt as a pedagogical tool, as opposed to showing a filmed clip of game play (for example, from Twitch or YouTube). . . . Accordingly, as no further examples of non-motion-picture audiovisual works were provided to support a broader exemption, the Register declines to recommend an exemption for excerpts of ‘audiovisual works,’ as opposed to ‘motion pictures.’”).

The Copyright Office should reject requests to deviate from the rulemaking framework established by Congress for the triennial proceedings designed to identify and alleviate specific marketplace problems, which is, for the most part, working quite well. The Copyright Office has repeatedly described at great length how it carefully deduced, from the statute and its legislative history, the procedural and substantive obligations of persons seeking regulatory exemptions under Section 1201(a)(1)(C). *See, e.g.,* Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, Notice of Inquiry and Request for Petitions, 79 Fed. Reg. 55,687, 55,689-91 (Sept. 17, 2014). The requirements that each proceeding be considered *de novo*, that the Register apply a preponderance of the evidence standard, that proponents demonstrate that the conduct they intend to engage in is “in fact” non-infringing, and that exemptions cannot be based on mere inconveniences or *de minimis* harms and must instead be justified by “substantial adverse effects,” all serve to ensure that the process is not abused and that Congress’ decision to prohibit acts of circumvention is not set aside lightly based on hypothetical complaints, hyperbole, abstract policy positions and minor grievances. Proponents of undoing these regulatory standards ask the Copyright Office to “ignore” (Comments of Library Copyright Alliance at 34) the legislative history in furtherance of creating a proceeding that would make obtaining exemptions so easy that they would quickly swallow the rule.

Although these same proponents claim that altering the ground-rules for the proceeding will reduce the burdens on the Register and the Librarian associated with vetting exemption requests, the proposed new, lax standards, if adopted, would be far more likely to result in a proliferation of poorly supported requests from exemption proponents. As emphasized in the comments previously submitted by ESA, exemptions that the Register has rejected during prior cycles are frequently and repeatedly proposed again in successive cycles. Comments of ESA at 11. These wasteful and unjustified proposals, and others, burden copyright owners and the Copyright Office, and similar proposals would almost certainly increase in number if the standards for granting exemptions were significantly relaxed. *Id.*

The outcomes of the most recent triennial rulemaking cycles demonstrate that the requirements for supporting exemptions are not unreasonable to satisfy. Whereas the first triennial rulemaking only resulted in exemptions for two classes of works, the 2015 proceeding resulted in exemptions covering twenty-two types of uses of copyrighted works. In fact, since the first proceeding in 2000, every successive cycle has resulted in more exemptions than the prior cycle. In 2003, there were four exempt classes of works; 2006 resulted in six exempt classes of works; the Librarian exempted nine categories of uses in 2010; and the number grew to seventeen categories of uses in 2012. Given the success that exemption proponents have had

in these proceedings, claims that the process favors exemption opponents are exaggerated and inaccurate.⁵

AAP, MPAA and RIAA support ESA's suggestion that the Copyright Office should require exemption proponents to demonstrate significant changes in the marketplace or the case law before any exemption that has been previously denied will be reconsidered. *Id.* In addition, AAP, MPAA, and RIAA continue to believe that, under the existing ground rules, where renewal of an existing exemption is requested, if the proponent asserts that adverse impact of the kind previously demonstrated to exist would be felt, and no one meaningfully opposes that assertion, the Register may conclude, without further comments or hearing testimony, that adverse impact is more likely than not, and recommend that the Librarian grant the exemption.⁶ Aside from these clarifications, AAP, MPAA and RIAA do not believe that any changes to the ground rules for the proceeding are necessary or advisable. However, AAP, MPAA and RIAA continue to support the procedural changes to the rulemaking they recommended on pages 13 and 14 of their prior comments, including sharing proposed exemption language with hearing participants in order to obtain feedback on drafting issues prior to publication of the Final Rule.

IV. Conclusion

AAP, MPAA and RIAA appreciate this opportunity to comment on issues of critical importance to the motion picture, music and publishing industries. They also look forward to continuing to participate in the Copyright Office's process for studying Section 1201 of Title 17.

DATE: April 1, 2016

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⁵ Uses of digital content have evolved and changed over time, as discussed above in Section II. Section 1201 has led to a flourishing market for expressive content and various business models now exist to distribute it. Compared to the rapid growth of digital products and services, the increase in the number of exemptions is relatively minor.

⁶ The Copyright Office should reject calls to completely shift the burden of persuasion to opponents of renewing exemptions. Assertions that copyright owners reflexively oppose all exemptions, including previously granted exemptions, (Comments of the Organization for Transformative Works at 2) are baseless. AAP, MPAA and RIAA have not opposed renewal of numerous exemptions during the last two cycles. Congress intended for proponents, who are better positioned than opponents, to present evidence regarding the purported need for exemptions. *See* 79 Fed. Reg. at 55,689 ("Those who seek an exemption from the prohibition on circumvention bear the burden of establishing that the requirements for granting an exemption have been satisfied."). Even some proponents of exemptions concede that Congress did not intend for exemptions to be renewed absent any showing from proponents. *See, e.g.,* Comments of Professor Peter Decherney at 8 ("The purpose behind reconsidering existing exemptions on a triennial basis is to account for that fact that changes in technology, patterns of consumption, and the marketplace may make some existing exemptions obsolete. Thus, the creation of a hard presumption of renewability might well violate Congressional preference expressed through legislative history.").

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